

COMM1140 RATIO LIST

Return on Equity	$\frac{\text{Net Profit after Tax}}{\text{Shareholders' Equity}}$
Return on Assets	$\frac{\text{Net Profit after Tax}}{\text{Total Assets}}$
Gross Margin	$\frac{\text{Gross Profit}}{\text{Sales}}$
Profit Margin	$\frac{\text{Net Profit after Tax}}{\text{Sales}}$
Asset Turnover	$\frac{\text{Sales}}{\text{Total Assets}}$
Inventory Turnover	$\frac{\text{COGS}}{\text{Inventory}}$
Debtors (Receivable) Turnover	$\frac{\text{Credit Sales}}{\text{Accounts Receivable}}$
Accounts payable turnover	$\frac{\text{COGS}}{\text{Accounts Payable}}$
Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$
Quick Ratio	$\frac{\text{Cash} + \text{Accounts Receivable} + \text{Short-term investments}}{\text{Current Liabilities}}$
Cash Ratio	$\frac{\text{Cash}}{\text{Current Liabilities}}$
Days in Inventory	$\frac{365}{\text{Inventory Turnover}}$
Days in Debtors (Receivables)	$\frac{365}{\text{Debtors (Receivables) Turnover}}$
Days in Payable	$\frac{365}{\text{Payable Turnover}}$
Leverage Ratio	$\frac{\text{Total Assets}}{\text{Total Shareholders' Equity}}$
Debt to Equity Ratio	$\frac{\text{Total Liabilities}}{\text{Total Shareholders' Equity}}$
Debt to Asset Ratio	$\frac{\text{Total Liabilities}}{\text{Total Assets}}$
Earnings Per Share	$\frac{\text{Net profit after tax}}{\text{Shares outstanding}}$
Dividend Yield Ratio	$\frac{\text{Annual Dividends Declared Per Share}}{\text{Current Share Price}}$
Price/Earnings Ratio	$\frac{\text{Market Price Per Share}}{\text{Earnings Per Share}}$
P/E multiple	$\frac{\text{Market Price per share}}{\text{Earnings per share}} = \frac{\text{Market capitalisation}}{\text{Net profit after tax}}$
P/B multiple	$\frac{\text{Market capitalisation}}{\text{Book value of Equity}}$
P/S multiple	$\frac{\text{Market capitalisation}}{\text{Sales}}$
Enterprise Value (EV)	$\text{MV of Debt} + \text{MV of Equity} - \text{Cash}$
EV/EBITDA multiple	$\frac{\text{Enterprise Value}}{\text{EBITDA}}$

EV/EBIT multiple	$\frac{\text{Enterprise Value}}{\text{EBIT}}$
EV/SALES multiple	$\frac{\text{Enterprise Value}}{\text{Sales}}$
Free Cash Flow:	$\text{EBIT}(1 - T) + \text{Depreciation} - \text{Capex} - \text{Chg Op. NWC}$
Change in Operating Net Working Capital	$\begin{aligned} & ([\text{ARec} + \text{Inv}]_t - \text{APay}_t) - ([\text{ARec} + \text{Inv}]_{t-1} - \text{APay}_{t-1}) \\ & = ([\text{ARec} + \text{Inv}]_t - [\text{ARec} + \text{Inv}]_{t-1}) - (\text{APay}_t - \text{APay}_{t-1}) \end{aligned}$

- **EBIT** = Revenue – COGS – SG&A – Depreciation & Amortisation
- **NOPAT** = EBIT(1 – Tax Rate)
- **EBITDA** = Revenue – COGS – SG&A